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It's a great time to be working and earning in India. From CEO packages being counted in crores, hefty sign-on bonuses for middle and senior management and loyalty benefits for junior management, India Inc's salaries are going stratospheric. The consistent high growth of the economy, high consumption of goods and services and higher profits have led to salary hikes across the board. This has been fuelled further by the fact that the demand for contemporary skills and talents far outstrips supply.

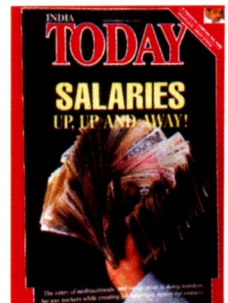
Consequently, corporate India will pay, for the fifth year in a row, the highest salary hikes in the world. Despite recent signs of an economic slowdown, Indian companies will raise their employees' salaries by an average 25 per cent this year compared to 14 per cent in 2005. In the US, the raise has averaged around 5 per cent and in China, 8 per cent. A salary trend survey for 2008 conducted by a global human resources consulting firm Watson Wyatt projects increases for all management levels across key industries. The survey, conducted across 146 companies, forecasts that this year will see the highest jump in salaries so far with Indian companies preparing to close their account books in 2008 with 36 per cent net profits.

Salary increases in India represent a supply-demand imbalance coupled with a conscious attempt by companies to benchmark their compensation with global standards. No wonder Indian companies are giving employees a slew of incentives in order to retain them. However, this is all confined to the organised sector which accounts for 30 million employees or just 10 per cent of the total workforce. It will clearly take time before the cascade effect starts benefiting the larger workers' community but all the signs are in place.

The skills shortage and the consequent retention rewards affect both blue collar and white collar workers. There is as much of a demand for workers in an auto paint shop as there is for software engineers in an IT company. The key question in the light of the current slowdown and global cues is whether such high salary increases are sustainable. Most CEOs and human resources heads we spoke to for our cover story this issue seemed to think that the fundamentals of the economy are still strong enough, even if growth is lower than projected, and that corporate India is still on a roll.

Our cover story examines the pros and cons of India Inc's salary boom, the sectors where growth, and therefore perks and packages, are projected to be the highest, and the challenges that lie ahead. We also look at what companies are doing to retain talent—the survey shows that 86.6 per cent of employees quit because they get better salaries elsewhere. It's a serious contemporary challenge as any CEO will tell you, but as long as salaries continue on the growth path, none of the employees, blue collar or white, will be complaining.

(Aron Purie)



Our Sept '94 issue